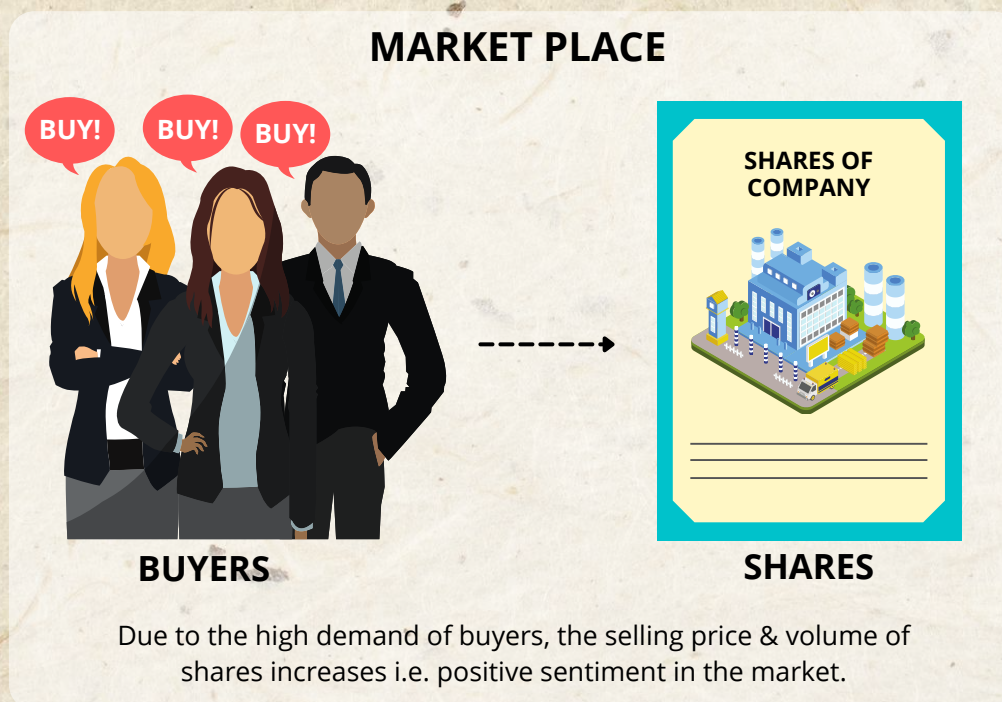


WHAT IS TECHNICAL ANALYSIS

Technical analysis is the study of demand and supply of an asset through an understanding of the changes in price and volume of trade of the asset. In other words, we will combine the trading volume with price movements for the analysis purpose. We will conduct a statistical analysis of the same which will provide us with the foundation for making the buy or sell decisions about the asset.

Here, we are least interested in the quality of the asset or what we are buying. If many others are buying the asset i.e. the prices are increasing and there are high volumes for the same, it shows that the market sentiment about the asset is positive, and therefore we buy the asset. We just expect the trend to continue and make a profit out of it. We are least interested if that is a major blue-chip company or a small and struggling company. Our entire focus is on identifying the trend rather than understanding the underlying reason for price movements. We will ride the increase or decrease till the time trend continues and exit when it comes to a stop.

To identify share price trends, we need to understand the price and volume history of assets. Also, we need to conduct a statistical analysis. We will be conducting most of the analysis using charts. Let's move on to the elements of technical analysis.



YOU



I want to buy this share to make profits from the increasing market prices